

2.1 INTRODUCTION

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FORWARD CONTRACTS ARE AN AGREEMENT OR CONTRACT TO BUY OR SELL AN ASSET AT A SPECIFIC PRICE FOR A SPECIFIC QUANTITY ON A SPECIFIC FUTURE DATE.

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FUTURE DATE



SPECIFIC PRICE



SPECIFIC QUANTITY

These contracts are customized - as per the requirements of the two parties involved in the agreement. The flexibility of customizing the contract means that it is not standardised for all.



CUSTOMIZED



STANDARDISED